EXECUTIVE SUMMARY

1. Introduction

The Local Government Unit of Santa Ana was created by virtue of Executive Order No. 289 signed by President Elpidio Quirino on October 21, 1949 which took effect on January 1, 1950.

The audit covered the accounts and operations of the Municipality of Sta. Ana for the year 2019 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSAS), whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Santa Ana for the year ended December 31, 2019, with comparative figures for CY 2018, are as follows:

Particulars	2019	2018	Increase (Decrease)	
			Amount	Percentage
Financial Condition				
Assets	472,720,101.75	424,631,443.28	48,088,658.47	11.32%
Liabilities	120,140,593.76	116,841,668.84	3,298,924.92	2.82%
Gov't Equity	352,579,507.99	307,789,774.44	44,789,733.55	14.55%
Total Income	199,718,773.53	179,433,241.45	20,285,532.08	11.31%
Total Expenses	149,780,610.19	140,407,498.85	9,373,111.34	6.68%
Appropriations	228,352,933.61	190,102,850.43	38,250,083.18	20.12%
Allotments	228,352,933.61	190,102,850.43	38,250,083.18	20.12%
Obligations	155,027,068.89	145,136,742.87	9,890,326.02	6.81%

Comparative Statement of Fund Transfers to and from NGA's, NGO's and PO's.

	2019	2018	Increase (Decrease)
Funds Received from Other Agencies			
Due to NGAs	15,793,999.90	10,281,968.24	5,512,031.66
Due to GOCCs	54,813.53	331,959.78	(277,146.25)

	2019	2018	Increase (Decrease)
Due to LGUs	2,320,835.67	3,850,911.97	(1,530,076.30)
TOTAL	**P 18,169,649.10**	**P 4,627,019.59**	
Funds Transferred to Other Agencies:			
Due from GOCCs	68,520.00	P 68,520.00	–
Due from LGUs	16,000.00	16,000.00	–
TOTAL	**P 84,520.00**	**P 84,520.00**	–

3. Independent Auditor's Report on the Financial Statements

We rendered a Qualified opinion on the fairness of the financial statements due to the non-compliance of the Municipality with the transitory provision on the phased recognition of the Local Road Networks in the books of accounts which requires 100% compliance at the end of calendar year 2019 pursuant to Item IX of COA Circular No. 2015-008 dated November 23, 2015 thus, affecting the fair presentation of the "Road Network" account amounting to P P59,642,024.63 as at December 31, 2019. Likewise, accuracy and reliability of the Due from Other Funds and Due to Other Funds accounts amounting to P11,284,054.87 and P1,092,150.61, respectively and Trust Liabilities – DRRMF account amounting to P8,057,769.99 cannot be relied upon due to (1) existence of unreconciled balance of the reciprocal accounts amounting to P10,190,904.26 and (2) erroneous recording in the Trust Liabilities – DRRMF account, thus affecting the fairness of the year-end balances. The audit team was not able to apply other alternative audit procedures in determining the correct amount of the said accounts.

4. Summary of Significant Audit Observations and Recommendations

1. The municipality was not able to comply with the transitory provision on the phased recognition of the Local Road Networks in the books of accounts which mandates 100% compliance at the end of calendar year 2019 as required under Item IX of COA Circular No.2015-008 dated November 23, 2015 due to incomplete Inventory Report, thus affecting the fair presentation of the "Road Network" account with a net book value of P59,642,024.63 as at December 31, 2019.

   We recommended that management strictly comply with the provisions embodied in the COA Circular No. 2015-008 dated November 25, 2015 and IPSAS 17 by ensuring the following:

   a. Inventory Committee conducts inventory of Local Roads under the LGUs jurisdiction at year-end;

   b. General Services Officer maintains and updates a Local Road Inventory and Road Map and keeps a complete Local Road Network Property Card for all local roads and their components;

c. Municipal Engineer provides the Municipal Accountant and the General Services Officer with the complete description and cost segregation of road components of road projects; and

d. Municipal Accountant ensures compliance with the transitory provisions of the Circular by updating the records of the Road Network account and keeps and maintains subsidiary records for roads and road components for every road network.

2. The reciprocal accounts Due from Other Funds and Due to Other Funds have an unreconciled balance amounting to P10,190,904.26 contrary to Sections 111(2) and 112 of Presidential Decree (PD) and COA Circular 2015-009 dated December 1, 2015 thus, affecting the fair presentation of the financial statements. Likewise, the related subsidiary ledgers were not submitted for evaluation contrary to Items 2.0 and 4.1 of COA Circular No. 2010-001 dated March 2, 2010.

   We recommended that management direct the Municipal Accountant to:

   a. Reconcile the reciprocal accounts and effect immediate adjustments in the books.

   b. Submit the subsidiary schedule of these accounts for proper review and evaluation.

   c. Comply strictly with the provisions of COA Circular No. 2010-001 by ensuring that all accounts presented in the financial statements are supported with necessary subsidiary schedules and submit the same to COA in order to furnish the necessary information relevant to audit.

3. The accuracy and reliability of the reported balance of Special Trust Fund under the Trust Liabilities – DRRMF account as of December 31, 2019 amounting to P8,057,769.99 could not be relied upon due to (1) non - reversion of the expired unexpended balance of LDRRMF - Special Trust Fund to the unappropriated surplus of the General Fund; (2) non-transfer of the unexpended balance of QRF and the DRRMF-MOOE for CY 2019 to the Special Trust Fund; (3) inappropriate transfer of Continuing Appropriations of DRRMF to the Special Trust Fund; (4) non-maintenance of subsidiary ledgers for transfers of agency's unutilized DRRMF to the special trust fund by year of transfer; and (5) Erroneous presentation of LDRRMF in the Notes to Financial Statements contrary to the accounting and reporting guidelines prescribed under COA Circular No. 2012-002 dated September 12, 2012
   We recommended management the following:

a. Revert back to the unappropriated surplus of the General Fund the total of P3,319,114.80 pertaining to unrecorded deposits or transfers to DRRM bank account in CYs 2011 and 2012;

b. Ensure that the unexpended balance of QRF and the DRRMF-MOOE at the end of the year will be transferred to the Special Trust Fund Account and will be recorded under the Trust Liabilities – DRRMF account;

c. Ensure that Continuing Appropriations/Capital Outlay of DRRMF will continue to be recorded under the General Fund books until the projects funded therefor are completed and should never be transferred to STF;

d. Set-up and maintain subsidiary ledgers for the special trust fund for unutilized DRRMF by year of transfer, receipts of NDRRMF by transferring agency, DRRMF from other LGUs by LGU, and other sources by donor in order to readily determine the balances of transfers/receipts; and

e. Reconcile and correct the Notes to Financial Statements by reflecting the correct balances of special trust fund by year.

E. Summary of Total Suspensions, Disallowances, and Charges

The municipality had unsettled suspensions and disallowances amounting to P962,697.05 and P12,080,560.38, respectively, as of December 31, 2019.

F. Status of Implementation of Prior Year's Audit Recommendations

Out of fourteen (14) audit recommendations embodied in the prior years' report, three (3) were fully implemented, three (3) were partially implemented and eight (8) were not implemented as of December 31, 2019.